# Accounting System

## Accounting Principles, Types Of Accounts, Concept Of Audit, Internal Control System

## लेखा/लेखा प्रणाली

लेखा प्रणाली संस्थाको व्यापारिक कारोवारको सुचना राक्ने, अभिलेख राख्ने, अभिलेख प्रसोधन गर्ने तथा आर्थिक प्रतिवेदनको माध्यमबाट सम्बन्धित पक्षलाई जनकारी दिने पद्धति हो ।आज को युग लेखा को युग हो आजकल लेखा हरेक कुरा र ठाँउ ठाँउ मा काम लाग्ने विषय हो ।प्रभावका आधारमा **लेखा प्रणाली दुई प्रकारका हुन्छन्।**

- एकोहोरो लेखाप्रणाली (अङ्ग्रेजी: Single Entry System of Book-Keeping System)
- दोहोरो लेखाप्रणाली (अङ्ग्रेजी: Double Entry System of Book-Keeping System) हो ।

### लेखा

साधारण अर्थमा लेखा भन्नाले प्रचलित कानुन, ऐन नियम, नीति, कार्यक्रम तथा निर्णय, आदेश तथा मापदण्ड समेतलाई आधार मानी कारोबारको यथार्थ विवरण देखिने गरी राखिने अभिलेख वा खाता भन्ने बुझिन्छ।

लेखापरीक्षण ऐन, २०४८ अनुसार — कारोबार भएको व्यहोरा देखिने गरी प्रचलित कानुन बमोजिम राखिने अभिलेख, खाता, किताब आदि र सो कारोबारलाई प्रमाणित गर्ने अन्य कागजात समेतलाई जनाउँदछ।

## लेखा प्रणाली :

आर्थिक कारोबारको लेखाङ्कन गर्ने, अभिलेख राख्ने र त्यसको नतिजा एवं यथार्थ आर्थिक स्थिति देखाउन अपनाइने व्यवस्थित कार्यविधिलाई लेखा प्रणाली वा स्रेस्ता प्रणाली भनिन्छ।

लेखा विभिन्न प्रतिवेदनहरू तयार गर्न आवश्यक पर्ने अभिलेखाङ्कन सम्बन्धी क्रियाकिलाप नै लेखा प्रणाली हो।

## सरकारी लेखा

सरकारी लेखा भन्नाले राजस्व सङ्कलन गर्ने, खर्च गर्ने र त्यसको अभिलेख राख्ने सबै प्रक्रिया तथा त्यसको परिमाणको सन्दर्भमा फाँटवारी तयार गर्ने कामलाई जनाउँछ।

**सरकारी लेखा प्रणाली:**

- स्याहा श्रेष्ता प्रणाली
    - नेपालको पहिलो लेखा प्रणाली
    - खरिदार गुणवन्तले वि.सं.१९३६ मा सुरुवात गरेका
- फारम श्रेष्ता प्रणाली
    - यसलाई मधेष माग फारम पनि भनिने
    - वि.सं.१९६८ बाट सुरुवात
- भुक्तान श्रेष्ता प्रणाली
    - २०१७ बैशाख १
- नयाँ श्रेष्ता प्रणाली
    - वर्तमान श्रेष्ता प्रणाली
    - सुरुवात २०१८ चैत्र २ मा राजा महेन्द्रबाट लालमोहोर लगाएर सुरुवात
- अन्य

- नेपालको संविधानको धारा २४० मा महालेखा परीक्षकको कार्यालयको व्यवस्था गरिएको छ।
- Profit and Loss Account NRB को निर्देशिका ४ अन्तर्गत तयार गरिन्छ
- नेपालमा योजनाको सुरुवात २०१३ बाट भएको
- नेपालमा बजेट सुरुवात २००८ बाट भएको
- Journal शब्द फेन्च भाषाबाट आएको

## लेखा प्रणालीका सिद्धान्त

लेखाका आधारभूत सर्वमान्य सिद्धान्त (Generally Accepted Accounting Principles) का अनुसार लेखा प्रणालीका सिद्धान्तहरू निम्नानुसार रहेका छन्।

1. Money Measurement Concept
2. Business Entity Concept
3. Single Entry Concept
4. Cash Basic Concept
5. Accrual Basis Concept
6. Double Entry System
7. Going Concern Concept
8. Matching Concept
9. Historical Cost Concept
10. Account Period Concept

## नगद तथा प्रोदभावी लेखा प्रणाली

कारोबारलाई लेखाङ्कन गर्ने समयको आधारमा लेखा प्रणालीलाई दुई भागमा बाँडिएको छ।

1. नगदमा आधारित लेखा प्रणाली
2. प्रोदभावी लेखा प्रणाली

## नगदमा आधारित लेखा प्रणाली

यस लेखा प्रणालीमा कारोबार जहिलेसुकै भएपनि वा हुने भए तापनि नगद भुक्तानी वा प्राप्तिको अवस्थामा वा नगद सरहको प्राप्ति वा भुक्तानीको अवस्थामा मात्र लेखाङ्कन गर्ने र अभिलेख राख्ने, प्रतिवेदन गर्ने कार्य गरिन्छ।

आम्दानीलाई नगद प्राप्त भएपछि आम्दानी जनाइन्छ भने खर्चको हकमा वास्तविक भुक्तानी भएपछि मात्र खर्चको रूपमा लेखाङ्कन गरिन्छ।

यस लेखा प्रणालीमा भुक्तानी दिन बाँकी खर्चहरू, अग्रिम भुक्तानीहरू, प्राप्त हुन बाँकी आम्दानीहरू र अग्रिम रूपमा प्राप्त आम्दानीलाई लेखाङ्कन गरिँदैन।

## प्रोदभावी लेखा प्रणाली

नगद प्राप्ति वा भुक्तानी जुनसुकै समयमा भए तापनि कारोबार भएको समयमा नै लेखाङ्कन गर्ने पद्धतिलाई प्रोदभावी लेखा प्रणाली भनिन्छ।

प्रोदभावीको आधारमा लेखाङ्कन गर्दा कुनै निश्चित दिन वा अवधिको वित्तीय स्थितिमा असर पार्ने सम्पूर्ण कारोबार समाहित गरिन्छ। साथै यस प्रणालीमा एक निश्चित अवधिमा भएको आम्दानी जुन नगद प्राप्त भएको छैन वा खर्चहरू जुन नगद भुक्तानी गरिएको छैन, सोको पनि लेखाङ्कन गरिन्छ।

यो प्रणाली अलि प्राविधिक भएकाले यसैको विशेष ज्ञान नभइकन यसका आधारमा लेखा राख्न सकिदैंन।

## दोहोरो लेखा प्रणाली

प्रत्येक आर्थिक कारोबारको दोहोरो प्रभाव पर्ने गरी लेखा अभिलेख तयार गर्ने पद्धतिलाई दोहोरो लेखा प्रणाली भनिन्छ। दोहोरो लेखा प्रणालीको आधारभूत मान्यता कारोबारको दोहोरो प्रभाव र सोको समुचित अभिलेख हो । विस्तारित रूपमा भन्दा प्रत्येक कारोबारले पारेका दुई पक्षीय प्रभावलाई नै देखाउने गरी कारोबारको लेखा राखिनु पर्दछ भन्ने मान्यता बोकेको लेखा प्रणाली नै दोहोरो लेखा प्रणाली हो ।

सन् १४९४ मा इटलीका Luca Pacioli ले Accounting of Venice मा यस प्रणालीको व्याख्या गरेका छन् । त्यसैले उनलाई लेखा प्रणालीका पिता भनिन्छ । दोहोरो लेखा प्रणालीमा कारोबारले परेको एक पक्षीय प्रभावलाई डेबिट गरिन्छ भने अर्को पक्षीय प्रभावलाई क्रेडिट गरिन्छ । यस प्रकार कुनै पनि अभिलेखमा डेविट बराबर क्रेडिट हुन्छ । यसप्रकार यस प्रणालीमा भएका त्रुटिहरू पत्ता लगाउने आफ्नै किसिमको विधि पनि विकास भएको छ । त्यसैले यस प्रणालीलाई पूर्ण र भरपर्दो प्रणाली मानिन्छ ।

## दोहोरो लेखा प्रणालीका विशेषताहरू

1. दोहोरो स्रेस्ता प्रणालीको सिद्धान्तमा आधारितः प्रत्येक कारोबारले दुई पक्षलाई प्रभावित गरेको हुन्छ र ती दुवै पक्षलाई लेखामा दर्शाइन्छ ।
2. बराबरः डेविट पक्ष र क्रेडिट पक्षतर्फ बराबर प्रभाव परेको हुन्छ ।
3. परिवर्तनशीलताः व्यवस्थित पद्धति भएकोले आवश्यकता अनुसार समायोजन र परिवर्तन गर्न सकिने हुन्छ ।
4. वैज्ञानिकः निश्चित सिद्धान्त, धारणा र मान्यता अनुसार लेखा राखिने ।
5. सरल लेखा प्रणालीः यो व्यवस्थित लेखा प्रणाली भएता पनि हेर्न र बुझ्न निकै सरल पनि छ । यसका प्रतिवेदनहरूले सम्पूर्ण व्यवसायको वास्तविक स्थिति देखाउदछन् । साथै यसको माध्यमबाट लेखापरीक्षणमा पनि सहजता हुन्छ।
6. व्यापक प्रयोगः भरपर्दो एवं वैज्ञानिक प्रणालीको रूपमा रहेबाट संसारभर यस प्रणालीको व्यापक प्रयोग भएको छ ।

## दोहोरो लेखा प्रणालीका विशेषताहरू

१) द्विपक्षीय प्रभाव,
२) समान प्रभाव,
३) विपरीत प्रभाव,
४) पूर्ण प्रभाव,
५) वैज्ञानिक प्रभाव,

६) सर्वाधिक प्रभाव,
७) अंकगणितीय शुद्धताको जाँच ।

## दोहोरो लेखा प्रणालीको उद्देश्य

1. कारोबारको पूर्ण अभिलेख गर्नु
2. नाफा नोक्सान निश्चित गर्नु
3. आर्थिक अवस्थाको चित्रण गर्नु
4. वस्तु तथा सम्पत्तिको संरक्षण गर्नु
5. आर्थिक सूचना उपलब्ध गराउनु
6. समस्या समाधान र सही गर्नमा मद्दत गर्नु

## दोहोरो लेखा प्रणालीका अवगुण

1. खर्चिलो
2. स-साना संस्थाको लागि अनुपयुक्त
3. पूर्ण शुद्धताको अभाव
4. जटिल र समय लिने

**प्रणाली दृष्टिकोण अनुसार लेखालाई निम्नानुसार देखाउन सकिन्छ।**

**Input**

- Financial Transaction
- Document
- Rules and Regulation
- Accounting Principle

**Process**

- Journal Voucher

- Ledger
- Trail Balance

**Output**

- Income Statement
- Balance Sheet
- Cash Flow Statement
- Statement of Change in Equity
- Note to Account :Supportive to Final Account (Items of Final Account)

## सरकारी लेखा प्रणालीको सिद्धान्त

१. दोहोरो स्रेस्ता प्रणालीको सिद्धान्तमा आधारित हुनुपर्दछ।

२. सरकारी लेखा प्रणालीले सम्बन्धित निकायको आर्थिक कारोबार तथा आर्थिक स्थिति स्पष्ट देखाउने हुनुपर्दछ।

३.लेखा प्रणाली प्रचलित ऐन, नियम अनुसार लेखा राख्न सक्ने खालको हुनुपर्दछ।

४.विभिन्न कानुनद्वारा स्थापना गरिएको कोषको व्यवस्थापन उचित तवरले गर्न सक्ने लेखा प्रणाली हुनुपर्ने।

५.स्थिर सम्पत्तिको मूल्याङ्कन परल मोलको आधारमा हुनुपर्दछ, ह्रासकट्टी गर्नुपर्दैन।

नेपाल सरकारको स्रेस्ता प्रणाली नगदमा आधारित छ। सरकारी लेखा प्रणालीले राजस्व, विनियोजन, धरौटी आदिको लेखा तथा सोको आवधिक प्रतिवेदनहरूमा एकै प्रकारका शीर्षक, उपशीर्षक कायम गर्नुपर्दछ। यसबाट लेखाङ्कन तथा प्रतिवेदनमा एकरूपता आई समन्वय, अनुगमन तथा नियन्त्रण गर्न सजिलो पर्दछ।

## नेपालमा नयाँ स्रेस्ता प्रणालीको सुरुवात

नेपाल सरकारको वर्तमान स्रेस्ता प्रणाली, जसलाई नयाँ स्रेस्ता प्रणाली भनेर चिनिन्छ, वि.सं. २०१८ साल चैत्र २ गते तत्कालीन राजा श्री ५ महेन्द्रबाट लालमोहर लागेपछि सुरु भएको हो ।

आ.व. ०२४/२५ सम्म नेपालभर क्रमिक रूपमा लागू भएको ।

दोहोरो स्रेस्ता प्रणालीमा आधारित, नगदमा आधारित लेखा प्रणाली भएकोले आधुनिक र वैज्ञानिक स्रेस्ता प्रणाली मानिएको छ ।

## नेपाल सरकारको स्रेस्ता प्रणाली (नयाँ स्रेस्ता प्रणाली) को उद्देश्य

1. कारोबारको अभिलेख ठीकसँग राख्ने,
2. बजेटको सीमा नाघ्न नदिने,
3. बजेट तर्जुमाका लागि सूचना उपलब्ध गराउने,
4. जिन्सी सामानको उचित संरक्षण गर्ने,
5. कार्यक्रमको उपलब्धि मूल्याङ्कन गर्न सकिने,
6. लेखा परीक्षण सरल र कम खर्चिलो बनाउने,
7. आर्थिक अनुशासन र पारदर्शिता कायम गर्ने।

## विशेषताहरू

1. दोहोरो लेखा प्रणालीको सिद्धान्तमा आधारितः नयाँ स्रेस्ता प्रणाली विश्वमा नै आधुनिक र वैज्ञानिक मानिएको दोहोरो लेखा प्रणालीको सिद्धान्तमा आधारित रहेको ।
2. एकरूपता तथा सरलताः यो प्रणाली लागू भएपछि सरकारी कार्यालयहरूमा पहिले प्रयोगमा आएको स्याहा र फाराम जस्ता बेग्लाबेग्लै स्रेस्ताहरूलाई प्रतिस्थापन गरेकाले सम्पूर्ण सरकारी स्रेस्तामा एकरूपता आएको ।

3. नगद कारोबारमा आधारितः नगद भुक्तानीको आधारमा मात्र लेखा राखिने, जुन सरकारी तथा गैरनाफामूलक संस्थाहरूमा उपयुक्त
4. परिवर्तनशीलताः समय र परिस्थिति अनुसार लेखा प्रणालीमा हुने परिवर्तनलाई स्वीकार गरिएको
5. पारदर्शिताः सबै आर्थिक क्रियाकलापहरू समेटिने गरी सम्बद्ध निकाय तथा पदाधिकारी समक्ष उपलब्ध गराइने
6. निश्चित ढाँचाका फारामहरूको प्रयोगः तोकिएको कार्यको लागि महालेखा परीक्षकको विभागबाट स्वीकृत निश्चित फारामहरूको मात्र प्रयोग गरिने व्यवस्था
7. बजेट शीर्षक अनुसार स्रेस्ता राख्ने व्यवस्थाः निकासा र खर्चलाई बजेट शीर्षक तथा उपशीर्षक अनुसार वर्गीकरण गरी स्रेस्ता राखिने
8. केन्द्रीयस्तर र कार्यसञ्चालनस्तर स्रेस्ताको व्यवस्थाः सरकारी कार्यालयहरूलाई केन्द्रीयस्तर र कार्यसञ्चालनस्तरका कार्यालयहरूमा बाढिएको
9. आर्थिक सूचनाको प्रवाहः विनियोजन खाताका आवधिक एवं नियमित प्रतिवेदनहरू तोकिएको निकायमा पठाउनु पर्ने

## एकल खाता कोष प्रणाली

सार्वजनिक कोष व्यवस्थापनका लागि नेपालमा लागू गरिएको नयाँ प्रणाली हो । नगद प्रवाह व्यवस्थापन, वित्तीय सूचना प्रणालीको गुणस्तर र कोष व्यवस्थापनमा देखिएका जटिलता र अस्पष्टता न्यूनीकरण गर्न यो प्रणाली लागू गरिएको हो ।

**उद्देश्यहरूः**

1. नगद व्यवस्थापनलाई प्रभावकारी बनाउन,
2. सरकारी खाताहरूमा निस्क्रिय मौज्दात हुन नदिनु,
3. सार्वजनिक ऋणलाई कम गर्नु,
4. सार्वजनिक नीति तथा निर्णयको लागि आवश्यक गुणस्तरयुक्त तथ्याङ्क उपयुक्त समयमा उपलब्ध गराउनुम

5. बजेट कार्यान्वयनमा प्रभावकारिता ल्याउनु,
6. आर्थिक अनुशासन कायम राख्न सहयोग पुऱ्याउनु ।

## लेखा परीक्षण

लेखा परीक्षण भन्नाले हिसाबकिताबको जाँच गर्ने काम हो । लेखाको जाँच र त्यसको आधारमा गरिने मूल्याङ्कन तथा विश्लेषणसमेत लेखापरीक्षण अन्तर्गत पर्दछन् ।

**कार्यः**

- नियमकानुन बमोजिम खर्च गरेनगरेको हेर्ने,
- तथ्य प्रदर्शन गर्ने, समालोचना गर्ने र भविष्यमा सुधार गर्न सुझाव दिने

**उद्देश्यः**

- आर्थिक कारोबारको परीक्षण गरी हिनामिना र त्रुटिहरू औंल्याउनु,
- नियमितता, मितव्ययिता, कार्यदक्षता र प्रभावकारिता तथा औचित्यताको परीक्षण गर्नु

## लेखापरीक्षणका सिद्धान्त

- ❖ नियमितताको सिद्धान्त
- ❖ मितव्ययिताको सिद्धान्त
- ❖ कार्यदक्षताको सिद्धान्त
- ❖ प्रभावकारिताको सिद्धान्त
- ❖ औचित्यको सिद्धान्त
- ❖ स्वतन्त्रता र स्वायत्तताको सिद्धान्त
- ❖ निष्पक्षताको सिद्धान्त
- ❖ गोपनीयताको सिद्धान्त
- ❖ सक्षमताको सिद्धान्त
- ❖ उचित सतर्कताको सिद्धान्त

## सरकारी लेखापरीक्षण

बजेट अनुसारको खर्च भिडान गर्ने, राजस्व तथा खर्चसँग संलग्न आधारभूत प्रमाणको जाँच गर्ने, मितव्ययिता तथा कार्यदक्षताको जाँच गरी प्रतिवेदन दिने कार्य

## **महत्त्वः**

- सरकारी क्रियाकलाप प्रति जनविश्वास सिर्जना गर्न,
- सार्वजनिक जवाफदेहिता र पारदर्शिता प्रवर्द्धन गर्न,
- सार्वजनिक स्रोत परिचालनमा मितव्ययिता ल्याउन,
- सार्वजनिक निकायको कार्यदक्षता र प्रभावकारिता बढाउन,
- प्रचलित कानुनको पालना गराउन,
- आर्थिक स्थितिको यथार्थ चित्रण गर्न

## **आन्तरिक लेखा परीक्षण तथा अन्तिम लेखापरीक्षण**

सङ्गठन भित्रबाटै व्यवस्थापक प्रति उत्तरदायी रहेर सङ्गठनको आर्थिक नियन्त्रण प्रणाली र लेखापालनको बारेमा व्यवस्थापकलाई प्रतिवेदन गर्ने लेखापरीक्षण नै आन्तरिक लेखा परीक्षण हो भने सार्वजनिक जवाफदेहिता निर्वाहका लागि स्वतन्त्र र शक्तिशाली निकायबाट गरिने लेखापरीक्षण अन्तिम लेखापरीक्षण हो ।

नेपाल सरकारको आन्तरिक लेखापरीक्षण महालेखा नियन्त्रक कार्यालयद्वारा गरिन्छ भने अन्तिम लेखापरीक्षण गर्ने निकाय महालेखा परीक्षक हो ।

## **नियमितताको लेखापरीक्षण तथा कार्यमुलक लेखापरीक्षण**

- प्रचलित नियम कानुनको अधीनमा रही आर्थिक प्रणाली र कारोबार सञ्चालन भएको छ छैन भनी जाँच गर्नु — नियमितताको लेखापरीक्षण हो भने
- मानवीय, वित्तीय, भौतिक तथा अन्य साधनको दक्षतापूर्वक उपयोग भए नभएको मूल्याङ्कन गर्नु कार्यमूलक लेखापरीक्षण हो ।

- नियमितताको लेखापरीक्षण प्रक्रियामुखी हुन्छ भने कार्यमूलक लेखापरीक्षण नतिजामुखी हुन्छ ।

## महालेखा परीक्षकको व्यवस्था

- संवैधानिक अङ्गको रूपमा
- प्रशासनिक खर्च लगायत सबै खर्च सञ्चित कोषमाथि व्ययभार हुने
- कर्मचारी प्रशासनमा स्वायत्तता, विशेषज्ञ आवश्यक पर्ने
- सार्वजनिक लेखामा निर्बाध पहुँच
- सार्वजनिक लेखाको ढाँचा र प्रणाली व्यवस्थामा अनिवार्य रूपमा महालेखा परीक्षकको पूर्वस्वीकृति आवश्यक पर्ने
- आफ्नो प्रतिवेदन राष्ट्र प्रमुखमा पेस पर्ने वार्षिक प्रतिवेदन अनिवार्य रूपमा र अन्य आवश्यक परेको समयमा

## सरकारी लेखापरीक्षणको विकास

- किवदन्ती अनुसार तुलजा भवानीले हिसाब हेर्ने भन्ने मान्यता
- वि.सं १८२८ मा कुमारी चोक अड्डाको स्थापना
- वि.सं १८७१ मा लाल ढड्डा र १८७९ मा मोठ ढड्डाको स्थापना
- २००८ मा महालेखापाल कार्यालयको स्थापना
- २०१६ मा महालेखापरीक्षकको स्थापना
- २०३२ मा म.ले.नि.का को स्थापना(आ.लेपको सुरुवात)
- २०३७ मा कार्यमूलक लेखापरिक्षणको सुरुवात
- २०३८ मा कोलेनिकाको स्थापना
- २०२० माघ १ बाट जिन्सी लेखाको सुरुवात

## लेखापरीक्षण सम्बन्धी अन्य विषयहरु

- Audit शब्द Audire बाट लिइएको
- Audire ल्याटिन भाषाबाट आएको
- Audire को अर्थ To Hear हुन्छ

## 5 Components of Internal Control System

1. Controlling the environment
2. Risk assessment
3. Control activities
4. Information and communication
5. Monitoring

## 3 Objectives of Internal Control System

1. financial reports are reliable,
2. operations are effective and efficient, and
3. activities comply with applicable laws and regulations.

## Principles of Internal Control

1. Principle of Separation
2. Principle of Responsibility

3. Principle of Skepticism
4. Principle of Rotation
5. Principle of Review
6. Principle of Clarification
7. Principle of Documentation

## Limitations of Internal Controls

1. Judgment
2. Breakdowns
3. Management Override
4. Collusion
5. Costs versus Benefits
6. Unusual Transactions

## Types of Internal Control

1. **Detective: पत्ता लगाउने** Designed to detect errors or irregularities that may have occurred.
2. **Corrective:** सुधारात्मक Designed to correct errors or irregularities that have been detected.
3. **Preventive:निरोधात्मक** Designed to keep errors irregularities from occurring in the first place

## विविध जानकारी

- **आन्तरिक जाँच तेस्रो पक्षबाट प्रमाणित गरिन्छ**
- **यसले लेखापरीक्षकको समय, श्रम र उर्जा बचत गर्दछ।**
- **आन्तरिक नियन्त्रणमा महत्वपूर्ण तत्वहरु**
    - **Work Division**
    - **Job Rotation**
    - **Cost Control**

## What is Bookkeeping?

Bookkeeping involves the recording, on a regular basis, of a company's financial transactions. With proper bookkeeping, companies are able to track all information on its books to make key operating, investing, and financing decisions.

Bookkeepers are individuals who manage all financial data for companies. Without bookkeepers, companies would not be aware of their current financial position, as well as the transactions that occur within the company.

Accurate bookkeeping is also crucial to external users, which includes investors, financial institutions, or the government – people or organizations that need access to reliable information to make better investments or lending decisions. Simply put, business entities rely on accurate and reliable bookkeeping for both internal and external users.

### Importance of Bookkeeping

Proper bookkeeping gives companies a reliable measure of their performance. It also provides information to make general strategic decisions and a benchmark for its revenue and income goals. In short, once a business is up and running, spending extra time and money on maintaining proper records is critical.

Many small companies don’t actually hire full-time accountants to work for them because of the cost. Instead, small companies generally hire a bookkeeper or outsource the job to a professional firm. One important thing to note here is that many people who intend to start a new business sometimes overlook the importance of matters such as keeping records of every penny spent.

| | Cash Basis | Accrual Basis |
|---|---|---|
| Definition | Record transaction only when cash is actually received or paid | Record transaction when it occurs, even if cash is not received or paid |
| Example: You purchased 100 units of a product and will pay for it next month. | No transaction recorded | Transaction recorded through an accounts payable (liability) account |

The Accrual vs Cash Basis of Accounting

In order to properly implement bookkeeping, companies need to first choose which basis of accounting they will follow. Companies can choose between two basic accounting methods: the cash basis of accounting or the accrual basis of accounting. The difference between these types of accounting is based on the timing for when the company actually records a sale (money inflow) or purchase (money outflow) in the books.

# Additional Questions

# Accounting

Accounting is the process of recording financial transactions pertaining to a business. The accounting process includes summarizing, analyzing and reporting

**1. Mention the difference between SAP Memory and ABAP Memory**

- SAP Memory is a global user-related memory that extends beyond the limit of transaction.
- ABAP Memory is a memory area within each main session and can be accessed by programs using the import-export st
- atement.

**2) What is Microsoft Accounting Professional?**

Microsoft Accounting Professional is an accounting application that offers reliable and fast processing of accounting transactions. It also helps with financial analysis.

**3) What is the abbreviation for the accounting terms debit and credit?**

The debit abbreviation is "dr" and credit abbreviation is "cr".

**4) How many types of business transactions are there in accounting?**

There are two types of transactions in accounting, i.e., revenue and capital.

**5) What is the balance sheet?**

It is a statement that states all the liabilities and assets of the company at a certain point.

**6) What is TDS?**

TDS stands for Tax Deduction at Source. It is introduced to collect text from the company from where the employee income is generated.

**7) Where to show TDS in the balance sheet?**

TDS is shown on the assets section, right after the head current asset.

**8) What is GST?**

GST stands for Goods and Service Tax. It's an indirect tax other than the income tax. It charges on the value of the service or product sold to a customer. The customer/clients pay the GST, and the seller deposits the GST with the government. Some countries have sales, service tax with works more or less the same as GST.

**9) What is the key difference between inactive and dormant accounts?**

Yes, both are different terms in accounting. Inactive accounts mean that accounts have been closed and will not be used in the future as well. Dormant accounts are those that are not functional today but may be used in the future.

**10) What is tally accounting?**

It is the software used for accounting in small business and shops for managing routine accounting transactions.

**11) How to define departmental accounting?**

Departmental accounting is a type of accounting in which a separate account is created for departments. It is managed separately as well, as shown independently in the balance sheet.

**12) Define fictitious assets**

These are the assets that cannot be shown or touch. Fictitious assets can only be felt, such as goodwill, rights, etc.

**13) What is the meaning of a perpetual or periodic inventory system?**

In the perpetual inventory system, the accounts are adjusted on a continual basis. In this inventory system, the accounts are changed periodically.

**14) What is premises in accounting?**

Premises refers to fixed assets that are shown in the balance sheet.

**15) What is the abbreviation of VAT?**

The abbreviation of VAT is Value Added Tax.

**16) How many accounting standards are published by ICAI?**

There is a total of 33 accounting standards published by ICAI. The purpose of these standards is to implement the same policies and practices in any country.

**17) What is ICAI?**

ICAI the abbreviation of the Institute of Chartered Accountants in India.

**18) What is the basic accounting equation?**

Accounting is all about assets, liabilities, and capital. Therefore, the accounting equation is:

Assets = Liabilities + Owners Equity.

**19) Define executive accounting**

Executive accounting is a type of accounting that is specifically designed for a business that offers services to users.

**20) Define public accounting**

Public accounting offers audits and CPAs to review company financial records to ensure accountability. It is for the general public.

**21) What is a CPA?**

CPA stands for Certified Public Accountant. To become a CPA, one should have to do many other qualifications as well. It is a qualification with a 150-hour requirement. It means that one should complete 150 credit hours at an accredited university.

**25) What is a bank reconciliation statement?**

A reconciliation statement is prepared when the passbook balance differs from the cash book balance.

**26) What is the primary difference between public and private accounting?**

Public accounting is a type of accounting that is done by one company for another company. Private accounting is done for your own company.

**27) What is project implementation?**

Project implementation involves six steps in total, such as:

- Identify need
- Generate and screen ideas
- Conduct a feasible study
- Develop the project
- Implement the project
- Handle the project

**28) Why accounting standards are mandatory?**

Accounting standards are mandatory because:

- They play a crucial role in preparing good quality and accurate financial reports.
- It ensures reliability and relevance in financial statements.

**29) Name different branches of accounting**

There are three branches of accounting:

- Financial accounting
- Management accounting
- Cost accounting

**30) What is the basic difference between accounting and auditing**?

Accounting is all about recording daily business activities. Auditing is the checking whether all these events have been noted down correctly or not.

**31) Define dual aspect term in accounting**

As the name implies, the dual aspect concept states that every transaction has two sides. For example, when you buy something, you give the cash and get the thing. Similarly, when you sell something, you lose the thing and get the money. So this getting and losing are two aspects of every transaction.

**32) What do we mean by purchase return in accounting?**

Purchase return is a term used to record every defective or unsatisfactory product returned to its supplier.

**33) Define the term material facts in accounting**

Material facts are the bills or any document that becomes the base of every account book. It means that all those documents, on which account book is prepared, are called material facts.

**34) What are the MIS reports?**

MIS reports are created to identify the efficiency of any department of a company.

**35) Define a company's payable cycle**

It is the time required by the company to pay all its account payables.

**36) Define retail banking**

Retail banking is a type of banking that involves a retail client. These clients are normal people and not any organizational customers.

**37) How much mathematics knowledge is necessary or required in accounting?**

Not much knowledge, but the basic mathematical background is required in accounting for operations like addition, subtraction, multiplication, and division.

**38) Define bills receivable**

All types of exchange bills, bonds, and other securities owned by a merchant that is payable to him are said as bills receivable.

**39) Define depreciation and its types**

Depreciation can be defined as the value of an asset that is decreasing as it is in use. It has two types, such as:

- Straight line method
- Diminishing value method
- Annuity method

- Depletion method
- Written down value method.

**40) Differentiate between consignor and consignee**

Consigner is the owner of the goods, or you can say he is the person who delivers the goods to the consignee. The consignee is the person who receives the goods.

**41) Define balancing in accounting**

Balancing means to equate both sides of the account, i.e., the debit and credit sides of an account must be equal/balanced.

**42) How much statistics knowledge is necessary or required in accounting?**

You must be very good at statistics if you want to do well in accounting. Otherwise, with minimum knowledge, you cannot manage your day to day transactions effectively in accounting.

**43) Define Scrap value in accounting**

It is the residual value of an asset. The residual value is the value that any asset holds after its estimated lifetime.

**44) What is the marginal cost?**

Marginal cost is defined as an increase or decrease in the cost of producing units or serving customers.

**45) Define Partitioning in accounting**

It is a kind of group made based on the same responses by a system.

**46) What is the key difference between provision and reserve?**

Provisions are the liabilities or the anticipated items, such as depreciation. In contrast, Reserves are the profits of any company, placed back to the business to keep it sustainable in tough times of a company.

**47) Define offset accounting**

Offset accounting is one that decreases the net amount of another account to create a net balance.

**48) Define overhead in terms of accounting**

It is the indirect expenditure of a company such as salaries, rent dues, etc.

**49) Define trade bills**

The trade bills are accounting documents generated against each transaction.

**50) Define fair value in accounting**

Fair value is the measurement of liabilities and assets according to the current value of the market. It shows the estimated price at which any assets are sold. Liability shows third party transactions under the current condition of the market.

**51) What is compound journal entry?**

A compound journal entry is just like other accounting entries where there is more than one debit, more than one credit, or more than one of both debits and credits. It is essentially a combination of several simple journal entries.

**52) What are the accounting events that are frequently involved in compound entries?**

The accounting events that are frequently involved in compound entries are:

- Record multiple line items in a supplier invoice that address to different expenses
- Record all bank deductions associated with a bank reconciliation
- Record deduction and payments related to a payroll
- Record the account receivable and sales taxes related to a customer invoice

**53) Mention the types of accounts involved in double-entry book-keeping**

Double-entry book-keeping includes five types of accounts:

- Income accounts
- Expense accounts

- Asset accounts
- Liability accounts
- Capital accounts

**54) What are the rules for debit and credit for different accounts to increase the amount in your business accounts?**

The rules for debit and credit for different accounts are:

- For a capital account, credit to increase it and debit to decrease it.
- For an asset account, debit to increase it and credit to decrease it.
- For a liability account, credit to increase it and debit to decrease it.
- For an expense account, debit to increase it, and credit to decrease it.
- For an income account, credit to increase it and debit to decrease it.

**55) List out the stages of double entry system**

The stages of the double-entry system are:

- Recording of transactions in the journal
- Posting of a journal entry into the respective ledger accounts and then preparing a trial balance
- Preparing final accounts and closing of books of accounts

**56) What are the disadvantages of a double-entry system?**

The disadvantages of the double-entry system are:

- If there are any compensatory errors, it is difficult to find out by this system
- This system needs more clerical labor.
- It is difficult to find errors if the errors are in the transactions recorded in the books.
- The double-entry system is not preferable to disclose all the information of a transaction, which is not properly recorded in the journal.

**57) What is General ledger account?**

The general ledger account is an account used to record all the information. It can be expenses and income types that are recorded into separate accounts.

In this account debits and credits, transactions are entered in one place and kept balanced.

**58) What is the general classification of accounts that usually ledger account involve?**

The general classification of accounts that usually ledger account involves are:

- **Assets:** cash, accounts receivable
- **Liabilities:** accounts payable, loans payable
- **Stockholders' equity:** common stock
- **Operating revenues:** revenues through sales
- **Operating expenses:** rent expense, salaries expense
- **Non-operating revenues and gains:** investment income, gain on disposal of equipment
- **Non-operating revenues and losses:** interest expense, loss on disposal of equipment

**59) List things will not be included in a bank reconciliation statement**

Things will not be included in a bank reconciliation statement are:

- Cheques dishonored not recorded in the cash book
- Direct payments made by the bank not entered in Cashbook
- Bank Charges or Interest debited by the bank.
- Cheques deposited but not cleared.
- Wrong debits given by the bank.
- Banks direct payment not entered in Cashbook.

**60) When are revenues reported in the accounting period?**

Revenues are reported in the accounting period when service or goods have been delivered.

**61) List down important cost control techniques**

Important cost controlling techniques are:

- Budgetary control
- Labor control
- Material control

- Standard costing
- Overheads control

**62) Mention whether the account "Cash" will be credited or debited when a company pays a bill?**

The account "Cash" will be credited when a company pays a bill.

**63) What are assets minus liabilities?**

Assets minus liabilities are defined as:

Assets minus liabilities = owners' equity / stockholder's equity.

**64) List the three basic elements of cost**

The three basic elements of cost are 1) Material, 2) Labour, and 3) Expenses.

**65) What is the main difference between accumulated depreciation and depreciation expense?**

The difference between accumulated depreciation and depreciation expense is that:

Accumulated depreciation is the total amount of depreciation that has been taken on a company's assets up to the date of the balance sheet.

Depreciation expense is the amount of depreciation that is reported on the income statement.

**66) List out some of the examples for liability accounts?**

Some of the examples of liability accounts are:

- Accounts payable
- Accrued expenses
- Short-term loans payable
- Unearned or deferred revenues
- Installment loans payable
- Current portion of long-term debt
- Mortgage loans payable

**67) How to adjust entries into account?**

Entries can be adjusted into account by sorting entries into five categories:

- **Accrued expenses:** Expenses have been incurred, but the vendor's invoices are not generated or processed yet
- **Accrued revenues:** Revenues have been earned, but the sales invoices are not generated or processed yet.
- **Deferred revenues:** Money was received in advance of having been paid or earned.
- **Deferred expenses:** Money was paid for a future expense.
- **Depreciation expense:** An asset purchased in one period must be allocated to expense in each of the accounting periods of the asset's useful life.

### 68) Explain deferred asset with example

A deferred asset refers to a deferred debit or a deferred charge. An example of a deferred charge is bond issue costs. These costs involve all of the fees or charges that an organization incurs to register and issue bonds.

These fees are paid in a near time when the bonds are issued, but it will not be expensed at that time.

### 69) What is Bank Reconciliation?

A bank reconciliation is a process done by a company. It ensures that the company's records are correct and that the bank's records are also correct. These records can be check register, balance sheet, a general ledger account, etc.

### 70) What is "deposit in transit"?

A deposit in transit is a check or cash that has been received and recorded by an entity. It should not yet been entered in the records of the bank where the funds are deposited.

### 71) What is an over accrual?

An over accrual is a condition where the estimate for an accrual journal entry is too high. This estimate may apply to the accrual of expense or revenue.

### 72) What is the account receivable?

A short term amounts due from buyers to a seller, who have purchased goods or services from the seller on credit is referred to as account receivable.

**73) What are the activities that are included in the Cash Flow Statement?**

The cash flow statement showcase the cash generated and used during the year or months. Various activities that are involved for the cash flow are

- **Operating activities:** Business activities accounting to cash
- **Investing activities:** Sale and purchase of equipment or property
- **Financial activities:** Purchase of stock and own bonds
- **Supplemental information:** exchange of significant items that don't involve cash

**74) What happens to the company's "Cash Account" if it borrows money from the bank by signing a note payable?**

Due to double entry, the "cash account" will increase as such the liability account increases.

**75) Which account is responsible for interest payable?**

The account which is responsible or affected by the interest payable is "Current liability account."

**76) What is reversing journal entries?**

Reversing journal entries are entries made at the beginning of an accounting period to cancel out the adjusting journal entries. These entries are made at the end of the previous accounting period.

**77) Where do generally accruals appear on the balance sheet?**

Accrued expenses usually tend to be extremely short-term. So you would record them within the "current liabilities section" of the balance sheet.

**78) List out some of the accrued expenses and the accounts to record them**

Accrued expenses and the accounts are:

Wage accrual is entered with a credit to the "wages payable account."

Interest accrual is entered with a credit to the "interest payable account."

Payroll tax accrual is entered with a credit to the "payroll taxes payable account."

**79) Deferred taxation is a part of which equity?**

Deferred taxation is a part of the owner's equity.

**80) What is a journal?**

Journal is a book that is maintained regularly for recording various financial entries.

**81) What is the equation for Acid-Test Ratio in accounting?**

The equation for Acid-Test Ratio in accounting

Acid-Test Ratio = (Current assets - Inventory) / Current Liabilities

**82) List out things that fall under intangible assets**

Things that fall under intangible asset are:

- Patents
- Copyrights
- Trademarks
- Brand names
- Domain names

**83) What is a trial balance in accounting?**

In accounting, the trial balance is an accounting report that lists the balances in each of an organization's general ledger accounts. This is done at the end of the posting journal entry to ensure that there are no posting errors.

**84) Where a cash discount should be recorded in a journal entry?**

A cash discount should be recorded in a journal entry as a reduction of expense in a cash account.

**85) Why some asset accounts have a credit balance?**

Some asset accounts have a credit balance due to:

- Receiving and posting an amount that was higher than the recorded receivable.
- Expenses occurred faster than the agreed-upon prepayments.
- An error caused by posting an amount to a wrong account.
- The number of checks written exceeded the positive amount in the Cash account.
- Continuing to amortize or depreciate an asset after its balance has reached zero.

**86) What is bad debt expense?**

A Bad debt expense is the amount of an account receivable that is considered to NOT be collectible.

**87) What is the master account?**

A master account has subsidiary accounts. A master account receivable could be anything, it can be account receivable for various individual receivable accounts.

**88) In which account does the unpresented cheque will get recorded?**

The unpresented cheque will get recorded as a credit to the cash account in the company's General ledger.

**89) What knowledge should financial accountant have?**

A certified financial accountant should have knowledge about:

- Accounting/Bookkeeping principles and practices
- Reporting and analysis of financial data
- Auditing practices and principles
- Account management
- Budgets
- Software knowledge dealing with Accounting
- Knowledge of relevant laws, codes, and regulations
- Good soft skills
- Being a team player
- Ability to learn quickly and up skill
- Basic Technical skills

**90) What are the three factors that can affect your cash flow and business profitability?**

The three factors that can affect your cash flow and business profit include:

- Cash flows from investing activities: It includes shares, bonds, physical property, machinery, etc.
- Cash flows from operating activities: It does not include cash received from other sources like investments.
- Cash flow from financing activities: It includes any activities that involve:
    1. Dividend payments that the company made to its shareholders.
    2. Any money that includes stock to the public.
    3. Money borrower going to borrow from the lender.

**91) What is accrual accounting?**

Accrual Accounting is a method for measuring the performance and position of the company by identifying economic events.

In this method, revenue is compared with the expenditures at the time in which the transaction occurs rather than when the payment is made.

**92) Explain the term account payable**

Account payable is referred to as the amount the company owes to its suppliers, its employees, and its partners. In other words, it is the basic cost levied on the company to run a business process that is outstanding.

Account payable for one company may be account receivable for another firm or company.

**93) Explain the meaning of long-term notes payable is or long-term liabilities**

Long-term notes payable or liabilities are referred for that loan that is not supposed to due for more than a year.

These are the loans from banks or financial institution that are secured against various assets on the balance sheet, such as inventories.

**94) What is the difference between depreciation and amortization?**

The difference between depreciation and amortization is:

| Depreciation | Amortization |
| --- | --- |
| Depreciate means to lose the value of an asset due to its usage, wear, and tear, outdated, etc. | Amortize means to write off or pay the debt over a period of time. Amortization can be for loans, or it can be for Intangible assets. |
| The depreciation cost is calculated in terms of tangible assets like furniture, plant & machinery, building, etc. | Amortization cost is calculated in terms of intangible assets like goodwill, trademark, loans, patents, etc. |
| The purpose of calculating depreciation costs recovery | The purpose of calculating amortization is also for cost recovery |
| The easiest or better way to calculate depreciation is to know the loss of value of an asset over its life. | Amortization calculates the amount spent after the intangible assets throughout the life for that asset. |
| For example, a car worth $30,000 has estimated the lifetime of 10 years after that, it will have no value in the market. The cost or loss in value throughout these 10 years is known as depreciation | For example, Pharmaceutical Company spent $20 million dollars on a drug patent with a useful life of 20 years. The amortization value for that company will be $1 million each year |
| Various method for depreciation includes straight-line depreciation, declining balance method, group depreciation method, unit of time/production depreciation method, etc. | Various method for amortization is negative amortization, zoning amortization, business amortization, etc. |

**95) What does the financial statement of the company include?**

Financial statement of the company includes various information like:

- Balance Sheet ( Assets, liabilities, and equity)
- Income statement ( Profit or Loss statement)
- Equity statement

- Cash flow statement

**96) What is working capital?**

Working capital is a financial metric that calculates the resources available to the company to finance its day-to-day operations. It is typically calculated by deducting current liabilities from current assets.

**97) What is ledger?**

A ledger can be referred to as an accounting book that keeps the record of journal entries in chronological order to individual accounts. The process of recording this journal entries is known as posting.

**98) Mention the types of ledgers**

There are three types of ledger

- General ledger
- Debtors ledger
- Creditors ledger

**99) What is GAAP?**

GAAP means Generally Accepted Accounting Principle; it is a framework of accounting, standards, procedures & rules determined by the professional accounting industry and practiced by publicly traded U.S companies all over the U.S.A.

**100) Explain double-entry accounting with an example**

Double-entry accounting is an accounting system that requires recording business transactions or events in at least two accounts. It is the same concept of accounting, where every debit account should be matched with a credit account.

For example, if a company takes a loan from a bank, it receives cash as an asset, but at the same time, it creates a liability for a company.

This single entry will affect both accounts, the asset accounts, and the liabilities accounts. It is referred to as double-entry accounting.

**101) Explain what does the standard journal entry includes?**

A standard journal entry includes, date of the business transaction, the name of the accounts affected, amounts to be debited or credited, and a brief description of the event.

**102) What are liabilities?**

Liability can be defined as an obligation towards another company or party. It may consist of delivering goods, rendering services, or paying money. They are the opposite of assets, and it may include:

- Account payable
- Interest and dividend payable
- Bonds payable
- Consumer deposits
- Reserves for federal taxes
- Short term loans

**103) What is the basic difference between asset, equity, and liabilities?**

Asset describes what financial institute (bank) or people owe.

Liabilities is something you owe people or organization.

Equity is something you own, for example, the amount of your house loan you paid off.

**104) Explain nominal accounts with example**

A nominal account is a type of account that contains income and expenses. For example, wages account, salary account, etc.

**105) What is double-entry bookkeeping?**

Double-entry bookkeeping is a principle of accounting where every debit entry has a corresponding credit. Therefore, the total debt is equal to the total credit.

**106) What is the primary difference between the trial balance and balance sheet?**

| Trail Balance | Balance Sheet |
|---|---|
| A trial balance is basically a list of balances in the ledger account. | A balance sheet is a statement that s liabilities, equity, and assets, of orga |
| Trail balance is used to check the arithmetical accuracy in recording and posting. | The balance sheet is used to ascerta position on a particular date. |

**107) Differentiate between account payable and account receivable**

| Account Payable | Account Receivable |
|---|---|
| It is the amount an organization owes to purchase services or goods on credit. | It is the amount collected by a compa of the selling of goods or services on |
| Accounts payables are liabilities. | Accounts receivables are assets. |

**108) What are the most common errors in accounting?**

The most common errors in accounting are:

- Compensating error
- Errors of commission
- Errors of omission
- Errors of principle

**109) What are the famous accounting applications?**

Famous accounting applications are:

- CGram Software
- Microsoft Small Business Financials

- Microsoft Accounting Professional
- Financial Force
- Microsoft Dynamics AX

**110) Mention four types of special journals**

Four types of special journals are:

- Sales journals
- Cash payments journals
- Purchases journals
- Cash receipts journals

**111) What are accounting transactions?**

Accounting transactions refer to the execution of the user program that contains a list of actions.

**112) Define creative accounting**

Creative accounting is a practice to create a picture that is not technically correct from the perspective of the intended user.

**113) What Is accounting normalization?**

Accounting normalization is a process of removing items from the statement of income or balance sheet. Once the normalization process is done, the result shows the future earning capacity of the buyer.

**114) What is a normative theory?**

The normative theory is a theory that prescribes how the accounting process should be done.

**115) Explain computerized accounting?**

Computerized accounting is a method in which financial information is collected, processed, and summarized into financial reports.

The purpose of this accounting is to provide information used for decision making. It can be viewed as a process that converts data into helpful information.

**116) What is accounting ethics?**

Accounting ethics is a field of applied judgments, ethics, and the study of moral values.

**117) What do you mean by vouching?**

Vouching is a process of checking the voucher authentication maintain by the management using respective supportive documents.

**118) What is an EA in Accounting?**

The full form of EA is Enrolled, Agent. It is a tax advisor who has unlimited practice rights. EA represents as a taxpayer and collects and audits, financial transactions.

**119) What Is Payroll?**

The term payroll is defined as a list of employees who get paid by the organization. It refers to the money employer pays to their employees.

**120) Define Payroll Source Documents**

The Payroll source documents are timesheets of the employee.

- It is used to record the task completed by the employee.
- These records are audited by the labor department and the Equal Employment Opportunity Commission.
- Source documents are must be kept into the payroll source folder.

**121) What is Ratio Analysis?**

Ratio analysis is the analysis of various goods in the business financial statement.

**122) What are non-performing assets?**

A non-performing asset is an account of borrower, that has been classified by a financial institution or bank. It should be as per guidelines given by RBI.

**123) Explain various methods of calculating depreciation in details**

Various methods of calculating depreciation are:

- **Double declining method:** This method is used to calculate book value, which is multiplied by a fixed depreciation rate.
- **Units of production method:** It is a way of charging depreciation on assets. This method is used when the asset’s value is closer to the units produces then years it is in used.
- **Straight-line method:** It can be calculated by dividing the difference between the cost of assets and its salvage value by the expected years to be used.
- **Sum of year digit method:** This method is based on the assumption that the assets productivity decreases with the passage of time.
- **Sinking fund method:** A technique which is used when the cost of replacing asset is too high.

**124) Define fixed asset**

Fixed asset are assets which are tangible in nature. It is not used to sell in the near future and from which future benefits are derived.

**125) What is BEP?**

BEP or Break Event Point can be defined as a situation in which the company neither gets profit nor no loss. It involves the activity in which total revenues equal total costs.

**126) Define cost sheet**

The cost sheet is a cost statement of product for a specific period of time. It contains direct and indirect expenses involved in producing a product.

**127) What is Chargeback?**

A chargeback is a process in the industry where wholesaler request amount, which is the difference between the price of manufacture and wholesaler.

**128) What Is CMMI?**

CMMI stands for Capability Maturity Model Integration. It is an approach to improve the organization's approach to get the essential elements of the process.

**129) What is CMM?**

Candidate can answer this question as:

CMM is a standard for measuring the maturity of a company's software development processes. It is judged by IT service providers to deliver high-quality software.

**130) Explain Cost Sheets**

The cost sheet contains both direct and indirect expenses incurred in producing any product. The classifying the expenses incurred based on administration, office, distribution, and selling overheads.

**131) What is an invoice?**

Invoice is a statement that contains:

- Invoice Number
- Invoice date
- Name and address of the person
- Name and address of the buyer
- Description of services or goods involved
- Applicable rates and taxes with percentages
- Rate of the service or goods.
- Quantity of the services and goods.
- Price of the services and goods.
- The invoice should be signed by the person making it.
- Conditions of making the payment.

**132) Differentiate between internal audit and statutory audit**

Candidate can answer the question of interviewer like, the difference between internal audit and statutory audit is:

| **Internal audit** | **Statutory audit** |
|---|---|
| An internal audit is an inspection conducted by the internal auditors of the organization. | A statutory audit is an inspection con external auditors. |
| It is not mandatory for the company. | It is mandatory for the company. |

**133) What is the main difference between billable and Non-billable expenses?**

The main difference between Billable and Non-billable Expenses is:

Billable expenses are the expenses incurred by the seller on behalf of the customer in performing service or duties.

Non-billable expenses are the expenses incurred by the seller for carrying out responsibilities.

# Auditing

Set-1

1 **Which of the following statements is not true?**

Management fraud is more difficult to detect than employee fraud
**B. Internal control system reduces the possibility of occurrence of employee fraud and management fraud**
C. The auditor's responsibility for detection and prevention of errors and frauds is similar.
D. All statements are correct.

2 **Internal audit is undertaken:**

By independent auditor
B. Statutorily appointed auditor
**C. By a person appointed by the management**
D. By a government auditor

3 **The scope of internal audit is decided by the__________?**

Shareholders
**B. Management**
C. Government
D. Law

4 **Audit of banks is an example of___________?**

Statutory audit
B. Balance sheet audit
C. Concurrent audit
**D. All of the above**

5 **Concurrent audit is a part of__________?**

Internal check system
B. Continuous audit
**C. Internal audit system**
D. None of these

6 **Audit in depth is synonymous for__________?**

Complete audit
B. Completed audit
C. Final audit
**D. Detailed audit**

7 **Institute of Chartered Accountants of Pakistan was established in__________?**

1949
B. 1956
**C. 1961**
D. 1972

8 **Which of the following statements is not true about continuous audit?**

It is conducted at regular interval
B. It may be carried out on daily basis
**C. It is needed when the organization has a good internal control system**
D. It is expensive

9 **Internal check is carried on by_________?**

Staff specially appointed for the purpose
B. Internal auditor
C. Supervisor of the staff
**D. Members of the staff**

10 **Errors of Omission are____________?**

**Technical errors**
B. Errors of principle
C. Compensating errors
D. None of the above

11 **Window dressing implies______________?**

Curtailment of expenses
B. Checking of Wastages
C. Under valuation of assets
**D. Over Valuation of assets**

12 **Test Checking refers to__________?**

Testing of accounts and records
**B. Checking of selected number of transactions**
C. Examination of adjusting and closing entries
D. Checking of all transactions recorded

13 **Which of the following statements is not correct about materiality?**

Materiality is a relative concept
B. Materiality judgments involve both quantitative and qualitative judgments
C. Auditor's consideration of materiality is influenced by the auditor's perception of the needs of an informed decision maker who will rely on the financial statements
**D. At the planning state, the auditor considers materiality at the financial statement level only**

14 **_____the audit risks______the materiality and________the audit effort.**

**Lower, Higher, Lower**
B. Lower, Lower, Higher
C. Higher, Lower, Lower
D. Lower, Higher, Higher

15 **When issuing unqualified opinion, the auditor who evaluates the audit findings should be satisfied that the__________?**

Amount of known misstatement is documented in working papers
**B. Estimates of the total likely misstatement is less than materiality level**
C. Estimate of the total likely misstatement is more than materially level
D. Estimates of the total likely misstatement cannot be made

16 **In determining the level of materiality for an audit, what should not be considered?**

Prior year's errors
**B. The auditor's remuneration**
C. Adjusted interim financial statements
D. Prior year's financial statements

17 **Analytical procedures issued in the planning stage of an audit, generally**

Helps to determine the nature, timing and extent of other audit procedures
B. Directs attention to potential risk areas
C. Indicates important aspects of business
**D. All of the above**

18 **Which of the following statements is most closely associated with analytical procedure applied at substantive stage?**

It helps to study relationship among balance sheet accounts
B. It helps to discover material misstatements in the financial statements
C. It helps to identify possible oversights
**D. It helps to accumulate evidence supporting the validity of a specific account balance**

19 **Verification refers to________?**

**Examining the physical existence and valuation of assets.**
B. Examining the journal and ledger
C. Examination of vouchers related to assets.
D. None of the above.

20 **Stock should be valued at________?**

Cost
B. Market price
**C. Cost or Market price whichever is lower.**
D. Cost less depreciation.

21 **Floating assets are valued at___________?**

cost
B. Market price
**C. Cost or market price whichever is lower**
D. Cost less depreciation

22 **Goods sold on the basis of ‘sales or return ‘ should:**

**Be included in the stock**
B. Not be included in the stock
C. Not be checked by auditor
D. None of the above

23 **Of the following, which is the least persuasive type of audit evidence?**

Bank statements obtained from the client
B. Documents obtained by auditor from third parties directly.
**C. Carbon copies of sales invoices inspected by the auditor**
D. Computations made by the auditor

24 **Which of the following statements is, generally, correct about the reliability of audit evidence?**

To be reliable, evidence should conclusive rather than persuasive
**B. Effective internal control system provides reliable audit evidence**
C. Evidence obtained from outside sources routed through the client
D. All are correct.

25 **In an audit of financial statements, substantive tests are audit procedures that _________?**

May be eliminated for an account balance under certain conditions
B. Are designed to discover significant subsequent events
C. Will increase proportionately when the auditor decreases the assessed level of control risk
**D. May be test of transactions, test of balance and analytical procedures**

26 **The nature, timing and extent of substantive procedures is related to assessed level of control risk**

Randomly
B. Disproportionately
**C. Directly**
D. Inversely

27 **Which of the following factors is most important in determining the appropriations of audit evidence?**

**The reliability of audit evidence and its relevance in meeting the audit objective**
B. The objectivity and integrity of the auditor
C. The quantity of audit evidence
D. The independence of the source of evidence

28 **When is evidential matter, generally, considered sufficient?**

When it constitutes entire population
**B. When it is enough to provide a basis for giving reasonable assurance regarding truthfulness**

C. When it is objective and relevant
D. When auditor collects and evaluates it independently

29 **Which of the following is not corroborative evidence?**

Minutes of meetings
B. Confirmations from debtors
C. Information gathered by auditor through observation
**D. Worksheet supporting consolidated financial statements**

# Internal Control

1. Does your governance structure maximize risk coverage and resources?

While it might seem like an unimportant task after 10 years of complying with SOX requirements, many companies are taking a step back and documenting their ICFR program charter and rolling this out as part of their training programs.

2. Do you regularly update your ICFR program to respond to changes in the business and regulatory requirements?

Leading-practice organizations have established a sustainable process to periodically refresh their ICFR program to respond to changes in the marketplace, and even use it as a platform to make more holistic changes and improvements.

3. Are changes to accounting standards identified and implications to the business addressed on a timely basis?

A well-documented and well-understood ongoing process is critical to staying abreast of accounting standards changes.

4. Is your SOX Section 302 certification process conducted with the appropriate level of diligence?

While many companies may feel they have a good SOX Section 302 certification process, some may have become complacent, going as far as rubber-stamping certifications, introducing even more risk to their organization.

5. How do you select and monitor the right scope and mix of controls?

Controls optimization should not be a one-time exercise – it should be done periodically to keep pace with changes in the business and regulatory environments.

6. Are management review controls designed and executed appropriately?

Typical areas include higher-risk estimation processes, fraud or other significant risks, unusual or non-routine classes of transactions, group wide controls and compensating controls that are being relied on to mitigate deficiencies.

7. Are you considering the completeness and accuracy of IPE in your controls?

When companies internally gather evidence of the design and operating effectiveness of controls, they should consider and document the completeness and accuracy of the evidence.

8. When is population completeness important?

Reports used as population in the testing of IT and business process controls should be accompanied by evidence that the reported data completely reflects the information contained in the system and that it was not inappropriately modified when the reports were generated.

9. Are your controls precise enough to detect significant issues?

The overall goal of management estimate testing is to validate that the issuer's assumptions and estimates underlying the valuation of assets and liabilities are reasonable.

10. Do you know who your related parties are?

Companies should revisit the controls they have in place to identify, account for and disclose transactions with related parties and executives, as well as significant unusual transactions.

11. Does your organization conduct an impact analysis once a deficiency is identified?

When deficiencies related to business processes or key financial systems and controls are identified, performing additional procedures to determine whether anything “bad” happened is the next step.

12. Can delaying remediation of deficiencies today turn into significant deficiencies in the future?

Management should define and implement specific remediation plans for all deficiencies. If the plans are in place but span multiple years, temporary compensating controls may need to be implemented to mitigate risks.

13. How do system implementations affect the internal control environment?

IT application implementations often introduce new control capabilities but also new risks which affect the application’s ability to support effective internal control that enables accurate financial reporting.

14. Where does responsibility and oversight for outsourced systems and business processes reside in your organization?

Outsourcing systems and business processes does not absolve user entities of their responsibility for an effective internal control environment.

15. What can you do if a SOC report is not available?

If sufficient controls do not exist at the user entity then management, with assistance from compliance teams and internal auditors, may need to perform tests of controls or substantive procedures at the service organization.

16. When systems move into the cloud, can you expect controls to follow?

Buyer beware: when entire systems or their components are oved into vendor-managed solutions, due diligence related to controls will pay off.

17. Why is segregation of duties a ticking time bomb?

Without an automated GRC tool, major enterprise resource planning systems may not have adequate controls over SOD conflicts.

18. Is cyber risk given enough consideration in your risk management program?

When it comes to cyber risk, waiting is generally not a good answer under any circumstances.

19. Have you considered how data analytics can help your organization evaluate controls and assess risks more efficiently?

Common areas of implementation are continuous controls monitoring in conjunction with systems; audit scoping to identify the highest-risk areas; and impact analysis in the case of identified control deficiencies.

20. Does your organization leverage technology and tools to more effectively manage internal controls?

Source code repository and release management tools can enable proper controls over changes to production systems and segregation of support vs. development duties. Also, commercial testing software enables implementation of a disciplined approach to financial system change testing.

Even though we have been living with SOX requirements for over a decade, many companies have not matured or optimized their ICFR programs.

Internal controls effectiveness

Investors, management and stakeholders across the globe are seeking higher standards around internal controls, risk management programs and communication. Our internal controls effectiveness review can uncover controls that are not effectively designed and provide improvement recommendations.

We know of no reason to expect the velocity of change will slow down anytime soon. New players will enter the market with innovative ideas that will continue to disrupt business models, requiring companies to respond quickly to stay competitive.

Technology will continue to rapidly evolve, upending the way companies do business and making them more vulnerable to bad actors looking for ways to infiltrate their systems. And regulators will continue to evolve their requirements as they strive to protect stakeholders. Re-evaluating your governance framework and ICFR program to determine whether they have kept up with the changes and making the necessary enhancements for what is known today are a good start.

However, preparing for future changes is not a one-time effort for or a compliance exercise. Rather, it is an opportunity to transform your organization’s internal control governance structure and framework, resource model and use of technology to be more agile, efficient and effective.

“Now is the time to rethink and enhance your internal controls. This should be thought of as a value-added task, not simply a compliance exercise,” says Amy Brachio, EY Global and Americas Consulting Risk Leader. Additionally, it is an opportunity to clarify and reinforce the roles and responsibilities of the business, IT, internal audit and financial reporting functions to work together to help the organization meet its strategic objectives and improve business performance.

***<u>What can you do today to enact change?</u>***

- Be proactive about addressing emerging topics within our organization.
- Revisit your governance structure and operating model for internal controls

- Collaborate with business and IT management on strengthening the control environment
- Refresh and enhance internal control documentation
- Evolve the nature, timing and extent of testing
- Use technology more extensively and creatively to become more efficient and effective
- Re-evaluate your staffing model and explore alternatives



**Best of Luck**